

6. **Reinstatement:** After serving the mandatory jailing period, the node will return to the standby set and subsequently to the reserve and active sets depending on the number of active nodes and performance of the rest of the Network.

By implementing this slashing mechanism, the Network can maintain a high standard of performance, ensuring that only the most reliable and efficient nodes participate in consensus and transaction processing.

5.2 Gateway Node Operators

Gateway node operators manage the Gateway Nodes, which are responsible for facilitating encrypted communications and data routing between wallets and applications. Initially, these nodes are operated by Reown to enhance stability and performance during the Network's early stages. Gateway nodes are responsible for:

- **Horizontal Scaling:** Gateway nodes are designed to handle increasing amounts of traffic by adding more nodes to the Network.
- **Velocity:** The Gateway Nodes optimize the speed of connections, reducing latency and improving the overall user experience when interacting with the WalletConnect Network.

It is expected that the WalletConnect Foundation will steward further decentralization of the operation of Gateway Nodes over time. The decentralization process involves moving project identifiers and metadata onto the Network, creating a clear distinction between wallets and applications, and introducing domain verification.

5.3 Wallets

Wallets enable users to manage their blockchain keys and interact with applications via the WalletConnect protocol. They play a vital role in the Network by enabling end-users to securely access and utilize blockchain services on any network. Wallets are responsible for integrating with the WalletConnect Network and providing a seamless user experience for managing digital assets and performing blockchain transactions.

Today, Reown provides the WalletKit sdk to enable simple integrations for wallets to the Network.

Wallets participating in the WalletConnect Network can earn rewards through staking and performance incentives. To qualify, wallets must stake WCT tokens, which enables them to participate in the Network's governance and earn staking rewards. The WalletConnect Certified program offers additional incentives for wallets that meet high standards of UX and integration, further encouraging wallets to stay up-to-date with the latest network features and best practices.